badly mauled and that your stocks are likely to recover more rapidly, because the former favorites are now on everybody's avoid list.

> When a large segment of the market gets overpriced and corrects, *everybody* gets nailed.

Herd on the Street

Herds have a lot of common characteristics, even when the animals are different. Most people can tell a herring from a zebra or a portfolio manager from a sparrow, but their herds act about the same.

Herds are homogeneous. You don't find seagulls in a flock of sparrows, or squid in a school of herring, or insurance salesmen in a herd of portfolio managers. The reason for this last item is interesting. Stockbrokers and portfolio managers both belong to the same human species. Stockbrokers and portfolio managers have systematic differences in personality, however, as measured on a test like Myers-Briggs. (Herring all seem to have the same personality, although they never take the Myers-Briggs test, so it is hard to be sure. It takes years just to teach a herring to hold a pencil.) Portfolio managers tend to be intuition/thinking types (good at objective analysis and ingenious intellectual themes), while salesmen tend to be sensory/feeling types, good at sociability. They consider each other, respectively, eggheads and peddlers, and really don't want to mingle.